

charging to the card, you spend the value at places that accept smart cards, or chip cards.



The Internet is a great tool for finding the best credit card. Visit www.bankrate.com for an up-to-date list of the best credit card deals in the country. You can also search the web for “credit card calculators,” which will help you understand how different payment strategies will affect your finances.

The Cost of Credit

There are several types of costs associated with credit cards. The annual fee is a flat dollar amount the issuer charges each year for the use of the card. Many, but not all, issuers charge annual fees. Finance charges are calculated based on the interest rate your card issuer charges and are the main cost of using credit. These rates vary significantly from one card to another, so you can save a lot of money by shopping around for a card with a lower interest rate.

Other fees that you might incur on your credit card include application fees, processing fees, charges for exceeding your credit limit, late-payment fees, balance-transfer fees, credit life insurance, and fees on cash advances.

Grace Periods

The grace period, commonly twenty-five days, is the time between the date you’re billed and the date your payment is due. If you pay your entire balance within the grace period, you may not incur any interest charges. If you carry a balance, there’s often no grace period on new purchases, so interest starts accruing from the date of purchase. Some issuers charge interest from the day you make the purchase, even if you pay your balance in full, so in effect there is no grace period. When you add the fact that